FUEL WATCH

POLESTAR INSIGHTS

REPORTING PERIOD: 17 MAY 2026 - 23 MAY 2026

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DATA STATUS: STATIC / IMPORT ONLY **LATEST RECORD:** 23 MAY 2026 **LAST UPDATED:** 23 MAY 2026

EXECUTIVE SUMMARY

Fuel risk this weekly cycle reads as a cost-and-continuity issue rather than a single dramatic event. Pressure across the window was driven by price increase, shortage and transport disruption. Iran produced the clearest country signal, with further reporting from India and Pakistan. Severity peaked at extreme.

Cost indicators are holding above easy-budget levels, and the incident picture adds operational stress — shortages, forecourt disruption, subsidy moves and route pressure where they appear — rather than relief.

For business users, the headline is straightforward: protect fuel-dependent operations from short-notice price or availability shocks. That means live attention to fuel stock cover, generator runtime, road transport exposure and supplier resilience while this picture holds.

FAST FACTS

BRENT CRUDE
109.3 USD/bbl
+7.9% 7d
Manual
As of 15 May 2026

WTI CRUDE
101.0 USD/bbl
+10.5% 7d
Manual
As of 15 May 2026

JET FUEL
4.152 USD/gal
+2.5% 7d
US Gulf Coast kerosene-type · EIA / FRED
As of 15 May 2026

FUEL SHORTAGES / RATIONING
5 events
reporting window

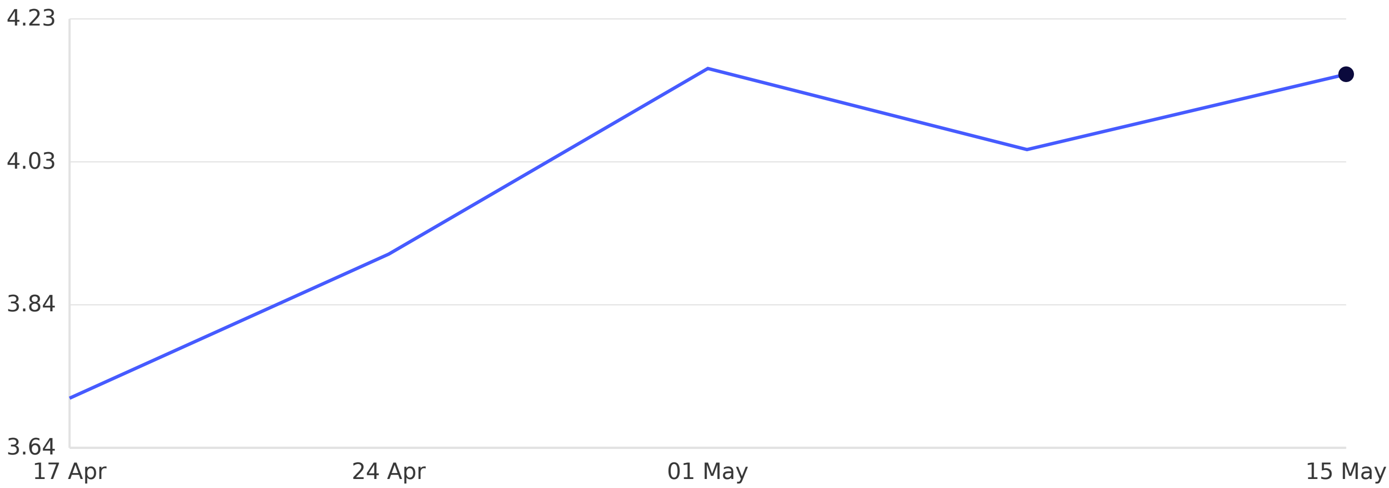
SUBSIDY / LEVY MOVES
1 policy event
reporting window

FUEL-RELEVANT CHOKEPOINT PRESSURE
15 records
Hormuz / route disruption

JET FUEL PRICE TRAJECTORY

US Gulf Coast kerosene-type jet fuel (USD/gal)

Latest 15 May: **4.15** USD/gal



US Gulf Coast kerosene-type jet fuel, 5 observations from 17 Apr to 15 May.

MARKET READ

Brent is sitting around 109.26 USD/bbl and WTI around 101.02 USD/bbl, which puts the crude complex in elevated territory rather than a transient spike. The jet fuel series is rising over the period, with the latest read at 4.152 USD/gal versus 3.709 at the start (+11.9%).

The combined read points to sustained cost pressure rather than a one-off move. Fuel-linked costs rarely stay isolated; they feed into freight rates, generator running costs, staff movement and supplier pricing — so the market indicators here should be treated as the cost-floor for any decisions further down the report.

SITUATION

Fuel cost is holding above easy-budget levels while availability and policy pressure remain live downstream. The cycle matters because the cost shock and the access shock are arriving together, which is when contract economics and operational continuity stop being separate problems. Iran is the country carrying the most weight.

WHAT HAPPENED

Reporting this cycle was led by price increase, shortage and transport disruption concentrated on Iran, with secondary reporting from India and Pakistan. Severity peaked at extreme.

OPERATIONAL READ

The dominant operational themes in this window are chokepoint pressure and tanker-route disruption (17 records); pump and surcharge pricing pressure (4 records); shortages, rationing and forecourt disruption (3 records). Dependent fuel movement is forced onto longer, costlier cycles even when the underlying barrels are still available.

Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation. Watch for surcharge revisions on freight contracts and any government push-back against price rises. Iran, India, Pakistan carry the strongest operational signal this cycle.

REGIONAL HIGHLIGHTS

Iran is the clearest pressure point in this window. 9 records this cycle point to chokepoint pressure and tanker-route disruption. Route pressure on Hormuz, Bab-el-Mandeb or the Red Sea feeds straight into bunker cost, transit time and war-risk premium. Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation.

India carries a secondary but credible signal. 6 records this cycle point to chokepoint pressure and tanker-route disruption. Pump-price moves, forecourt disruption and transport cost are where this lands first; local movement and distribution economics absorb the shock before the published headline catches up. Watch for state-level fuel-tax changes, fresh forecourt or rationing reports and any operator-side surcharge announcements on road and rail.

Pakistan adds further weight to the picture. 4 records this cycle point to chokepoint pressure and tanker-route disruption. Availability, pricing and power resilience are the operational pressure points here; fuel for generators, freight and field operations is where the cycle hurts before it shows up in macro data. Watch for load-shedding patterns, depot-stock advisories and any government action on fuel pricing or commercial allocation.

PRODUCER AND BUYER ACTIONS

ACTOR	CATEGORY	ACTION	OPERATIONAL READ
ADNOC	Producer action	ADNOC CEO Says Hormuz Oil Flows May Not Fully Recover Before 2027 21 May 2026	Supply-side move with read-through to bunker, jet and downstream pricing if the action sustains.
Government / policy	Government / policy action	Govt reduces petrol by Rs6 per litre, high-speed diesel by Rs6.8 22 May 2026	Policy reset: review pump-price exposure and contract pass-through clauses before the next billing cycle.
Government / policy	Government / policy action	Australian government plans for ‘worst-case scenario’ retail fuel rationing, documents reveal 22 May 2026	Policy intervention resets pump-price and surcharge exposure for the next contract cycle.
ADNOC	Infrastructure / routing action	New UAE Pipeline Bypassing Hormuz Now 50% Complete, ADNOC CEO Says 20 May 2026	Logistics rerouting raises bunker and transit cost on dependent fuel flows.
ADNOC	Infrastructure / routing action	UAE crude oil pipeline bypassing Hormuz 50% complete, ADNOC says 20 May 2026	Logistics rerouting raises bunker and transit cost on dependent fuel flows.

WHAT MATTERS

Elevated crude and a jet fuel series that is not retreating tell the cost side of the story: fuel-linked invoices stay heavy. The incident layer then tells the availability side: shortages, rationing and route pressure are the points where price stops being the only problem and physical access becomes the issue. Exposure to Iran is the live pressure point for fleet, generator and field operations.

Where the two reinforce each other — high prices meeting tight supply or chokepoint disruption — the operational impact compounds. Freight rates lift, surcharge clauses fire, generator runtime decisions get made on tighter stocks, and supplier conversations turn into renegotiations rather than confirmations. That is the picture worth planning against this cycle.

IMPLICATIONS FOR BUSINESS

- On the cost side, revisit contract pricing on bulk fuel and any surcharge pass-through clauses in freight and logistics agreements — elevated indicators usually mean the next invoice cycle reflects this, not the current one.
- On the continuity side, check fuel stock at site, generator runtime assumptions and the fuel routes you rely on for resupply.

WATCH NEXT

- Subsidy or levy decisions — a single gazette notice can reset pump price and contract economics overnight.

POLESTAR VIEW

Fuel Watch is flagging a cost-and-continuity risk this cycle, not simply a rise in fuel headlines. The market indicators show elevated fuel costs holding rather than easing, while the incident picture shows operational stress around shortages, route pressure and policy intervention. For business users, the priority is to protect movement, backup power and fuel-dependent operations from short-notice price or availability shocks. Iran is the clearest country pressure point, with the rest of the picture filled in by India and Pakistan.

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